

Business Responsibility & Sustainability Report

SECTION A: GENERAL DISCLOSURE

I. Details of the Listed Entity

1. Corporate Identity Number (CIN)	U65991TN1984PLC010844
of the Listed Entity	
2. Name of the Listed Entity	FIVE-STAR BUSINESS FINANCE LIMITED
3. Year of incorporation	1984
4. Registered office address	New No 27, Old No 4, Taylor's Road, Kilpauk, Chennai 600010
5. Corporate address	New No 27, Old No 4, Taylor's Road, Kilpauk, Chennai 600010
6. E-mail	cs@fivestargroup.in
7. Telephone	044-4610 6200
8. Website	www.fivestargroup.in
9. Financial year for which reporting is being done	FY 2022-2023
10. Name of the Stock Exchange(s) where shares are listed	National Stock Exchange, Bombay Stock Exchange
11. Paid-up Capital	INR 29,13,66,120

Contact Person

12. Name of the Person	Ms Shalini Baskaran
Telephone	044-4610 6260
Email address	shalini@fivestargroup.in

Reporting Boundary

13. Type of Reporting- Select If selected consolidated:	The disclosures in this report have been made on standalone basis for Five Star Business Finance Limited. Not Applicable
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II. Product/Services

	S. No.	Description of Main Activity	Description of Business Activity	% Turnover of the Entity
14. Details of business activities	1.	Onward Lending	Five-Star Business Finance Limited is registered with the RBI as a non-deposit taking NBFC. The Company provides secured financial solutions –“small” business loans - to micro-entrepreneurs and self-employed individuals who are largely devoid of access to the formal financial ecosystem, predominantly in urban and semi-urban markets. These loans are collateralized and secured mostly against the self-occupied residential property of the customers in a majority of cases (~95+%). The ticket size of loan typically varies from Rs.1 lakh to Rs.10 lakh with majority of loans falling in <Rs.5 lakh range, offered with longer tenures of primarily 5-7 years, for the convenience of the customers. The Company follows low Loan to Value (LTV) and Debt Burden Ratio (DBR) norms of 50% at the time of origination, which ensure that the loan is more than adequately provided for during the tenure of the loan.	100%

	S. No.	Product / Service	NIC Code	% of Total Turnover contributed
15. Products Services sold by the entity	1.	Small Business	64,920	100%

III. Operations

	Location	Number of Plants	No. of Offices	Total
16. Number of locations where plants and/or operations offices of the entity are situated:	National	0	390	390
	International	0	0	0

Market served by the entity		Locations
17. a. No. of Locations	National (No. of States)	8
	International (No. of Countries)	0
b. What is the contribution of exports as a percentage of the total turnover of the entity?	Nil; the Company is a domestic entity with 100% of its operations within India	
c. A brief on types of customers	The Company is in the business of providing secured lending solutions primarily catering to micro-entrepreneurs, small businesses and self-employed individuals, who are largely cut off from the formal lending ecosystem, for their business and other needs.	

IV. Employees

18. Details as at the end of financial year:

S. No.	Particulars	Total	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
Employees						
a. Employees and workers (including differently abled)						
1	Permanent Employees (A)	7,302	7,078	97%	224	3%
2	Other than Permanent Employees (B)	45	37	82%	8	17%
3	Total Employees (A+B)	7,347	7,115	97%	232	3%
b. Differently abled employees and workers						
1	Permanent Employees (E)	0	0	0	0	0
2	Other than Permanent Employees (F)	0	0	0	0	0
3	Total Employees (E+F)	0	0	0	0	0

19. Participation/Inclusion/Representation of women

S. No.	Category	Total (A)	No. and % of women	
			No. (B)	% (B/A)
1	Board of Directors	8	1	12.5%
	(Including the Board of Directors & Managing Director)			
2	Key Management Personnel	3	1	33.33%

20. Turnover rate for permanent employees and workers (Disclose trends for the past 3 years)

Category	FY 2022 - 2023			FY 2021 - 2022			FY 2020 - 2021		
	(Turnover rate in current FY)			(Turnover rate in previous FY)			(Turnover rate in the year prior to previous FY)		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	49%	40%	48%	42%	26%	41%	26%	75%	27%

V. Holding, Subsidiary, and Associate Companies (including joint ventures)

S. No.	Name of the holding / subsidiary / associate companies / joint ventures	Indicate whether it is a holding / Subsidiary / Associate / or Joint Venture	% of shares held by the listed entity	Does the entity indicated in column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1	NIL	N.A.	N.A.	N.A.

VI. CSR Details

22. a. Whether CSR is applicable as per section 135 of Companies Act, 2013	Yes
Turnover (in Rs.)	INR 152,892.75 lakhs
Net Worth (in Rs.)	INR 433,953.47 lakhs

VII. Transparency and Disclosures Compliances

23. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct

Stakeholder group from whom the complaint is received	Grievance Redressal Mechanism in Place (Yes/No)	If Yes, then provide web-link for the grievance redress policy	FY 2022-23 Current financial year			FY 2021-2022 Previous financial year		
			Number of complaints filed during the year	Number of complaints pending resolution at the close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at the close of the year	Remarks
Communities	Yes	Business-Responsibility-and-Sustainability-Reporting-Policy.pdf	0	0	-	0	0	-
Investors (other than shareholders)	Yes	Not Applicable	0	0	-	0	0	-
Shareholders	Yes	Not Applicable	0	0	-	0	0	-
Employees and workers	Yes	Whistle-Blower-Policy-Vigil-Mechanism.pdf	0	0	-	0	0	-
Customers	Yes	Grievance-Redressal-Policy.pdf	91	0	-	99	1	-
Value Chain Partners	Yes	Business-Responsibility-and-Sustainability-Reporting-Policy.pdf	0	0	-	0	0	-
Others (please specify)		Not Applicable	0	0	-	0	0	-

24. Overview of the entity's material responsible business conduct issues

Material Issue Identified	Indicate whether risk or opportunity	The rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
		Please refer the section on 'Material ESG issues in the ESG section of the Annual Report'		

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

The National Guidelines for Responsible Business Conduct (NGRBCs) as prescribed by the Ministry of Corporate Affairs advocates the following nine principles referred to as P1 to P9.

P1 - Business should conduct and govern themselves with Ethics, Transparency and Accountability

P2 - Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle

P3 - Businesses should promote the wellbeing of all employees

P4 - Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized

P5 - Businesses should respect and promote human rights

P6 - Business should respect, protect, and make efforts to restore the environment

P7 - Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner

P8 - Businesses should support inclusive growth and equitable development

P9 - Businesses should engage with and provide value to their customers and consumers in a responsible manner

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1. a. Whether your entity’s policy/ policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
b. Has the policy been approved by the Board? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
c. Web Link of the Policies, if available	Web links of the policies which cover the principles and core elements of the NGRBCs are as follows: BRSR Policy: Business-Responsibility-and-Sustainability-Reporting-Policy.pdf POSH: Policy-on-Prevention-of-Sexual-Harrasment.pdf Code of Conduct: Code-of-Conduct-for-Board-of-Directors-and-Senior-Management-Personnel.pdf Whistle Blower Policy: Whistle-Blower-Policy-Vigil-Mechanism.pdf Investor Policy: Investors – Five Star.pdf Risk Management Policy: Risk-Management-Policy.pdf CSR Policy: Corporate-Social-Responsibility.pdf Remuneration Policy: Appointment-Remuneration-Evaluation-Policy.pdf Board Diversity Policy: Board-Diversity-Policy.pdf								
2. Whether the entity has translated the policy into procedures. (Yes / No)	Yes								
3. Do the enlisted policies extend to your value chain partners? (Yes/No)	No; the Company has not identified any material ESG risks emanating from our value chain and hence has not extended the policies to include our value chain.								
4. Name of the national and international codes/ certifications/labels/ standards (e.g., Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustee) standards (e.g., SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	NIL								
5. Specific commitments, goals, and targets set by the entity with defined timelines, if any.	Five Star Business Finance has identified Material ESG issues in FY 2022-23. The Company is working towards identifying goals and targets and will be disclosed in future reports.								
6. Performance of the entity against the specific commitments, goal, and targets along with reasons in case the same are not met.	The Company has been working extensively towards the goal of financial inclusion and serving the needs of the underserved. The Company is also committed to contributing to community development through its CSR activities Details of the same are presented in our ESG report.								
Governance, Leadership, and Oversight									
7. Statement by director responsible for the business responsibility report, highlighting ESG-related challenges, targets, and achievements	Please refer the ESG Report for a statement from the Chairman & Managing Director, highlighting our ESG Goals, performance and outlook.								
8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	Mr. Lakshmipathy Deenadayalan, Chairman & Managing Director, is the highest authority responsible for implementation and oversight of the Business Responsibility policies.								
9. Does the entity have a specified Committee of the Board/ Director responsible for decision-making on sustainability-related issues? (Yes / No). If yes, provide details.	Mr. Lakshmipathy Deenadayalan, Chairman & Managing Director, is the highest responsible for decision making in relation to sustainability related focus areas, goals and other issues.								

10. Details of Review of NGRBCs by the Company:

Indicate whether the review was undertaken by the Director / Committee of the Board/ Any other Committee Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)

Performance against the above policies and follow-up action	The aforementioned policies have been approved by the Board and its Committees. The same have also been reviewed by the Company's Senior Management. Performance against the policies is reviewed on annual basis.
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Compliance with statutory requirements of relevance to the principles, and the rectification of any non-compliances	Audit Committee of the Board, along with the Management team review and ensure continued compliance with laws applicable to the Company. No non-compliances were observed/reported in this reporting period.
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11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency	P1	P2	P3	P4	P5	P6	P7	P8	P9
	No; on the basis of the level of risk perceived being low, the Company has not yet engaged any third part for assessments or evaluation.								

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

PRINCIPLE 1: Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable.

ESSENTIAL INDICATORS

1. Percentage coverage b/y training and awareness programmes on any of the principles during the financial year:

Segment	Total number of training and awareness programmes held	Topics/principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Board of Directors	2	- Familiarisation programs - Update on pillars of the company's business model as part of the Risk Management Committee meetings	100%
Key Management Personnel	2	- Session on Insider trading - Management team was also part of the roadshows done during IPO, wherein investors were taken through in a thorough manner on the Company's business model, underwriting and various other aspects	100%
Employees other than BODs and KMPs	70	Aspects covered in training include: - Code of Conduct - Prevention of Sexual Harassment - Health and Safety - Information Security - Employee Benefits and Policies - Grievance Redressal.	93%

2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format.

a. Monetary

Type	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (In INR)	Brief of the case	Has an appeal been preferred? (Yes/No)
Penalty/ Fine	NIL	NIL	NIL	NIL	NA
Settlement	NIL	NIL	NIL	NIL	NA
Compounding fee	NIL	NIL	NIL	NIL	NA

b. Non-Monetary

Type	NGRBC Principle	Name of the regulatory/enforcement agencies/judicial institutions	Amount (In INR)	Brief of the case	Has an appeal been preferred? (Yes/No)
Imprisonment	NIL	NIL	NIL	NIL	0
Punishment	NIL	NIL	NIL	NIL	0

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Not Applicable

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

Yes, as per Five Star's anti-corruption policy, it goes against the Company's policy to give anything of value to anybody directly or indirectly in order to influence decisions, unlawfully obtain or maintain business, or otherwise benefit unjustly from business connections. Receiving or agreeing to receive anything of value that causes or would cause to breach the duties at Five Star is also prohibited. The policy may be viewed at the following link:

[Anti-Corruption-or-Anti-Bribery-Policy.pdf](#)

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

No instances of corruption or bribery were observed or reported in the past two financial years.

Category	FY 2022-2023 (Current financial year)	FY 2021-2022 (Previous financial year)
Directors	NIL	NIL
KMPs	NIL	NIL
Employees	NIL	NIL
Workers	NIL	NIL

6. Details of complaints with regard to conflict of interest:

Nil. There were no instances of conflict of interest reported in FY 2022-23.

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

Not applicable; no cases of corruption or conflict of interest were reported in the last two years.

LEADERSHIP INDICATORS

1. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/No) If yes, provide details of the same.

Yes, the Company has Code of Conduct for Board of Directors and Senior Management Personnel.

The Board members and SMPs, on an annual basis, provide an affirmation that they have complied with the Code of Conduct for the financial year under review and that there were no instances of conflict of interest during the year. The Board members and SMPs do not participate in agenda items at the Board/Committee Meetings in which they are interested or deemed to be an interested party. The code may be viewed at the following link:

[Code-of-Conduct-for-Board-of-Directors-and-Senior-Management-Personnel.pdf](#)

PRINCIPLE 2: Businesses should provide goods and services in a manner that is sustainable and safe

ESSENTIAL INDICATORS

1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.

The Company is in the business of offering financial services (small business loans and mortgage loans) and does not have significant scope for investing in R&D activities.

Category	FY 2022-2023 (Current financial year)	FY 2021-2022 (Previous financial year)	Details of improvement in social and environmental aspects
Research & Development (R&D)	Not Applicable	Not Applicable	Not Applicable
Capital Expenditure (CAPEX)	Not Applicable	Not Applicable	Not Applicable

2. a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)

No, given the nature of the Company's business, the Company sources materials only for running its operations. Accordingly, sustainable sourcing is not a key focus area of for the Company.

b. If yes, what percentage of inputs were sourced sustainably?

Not Applicable

3. Describe the processes in place to safely reclaim your products for reusing, recycling, and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste

Product	Process to safely reclaim the product
a. Plastics (including packaging)	Hazardous and e-waste are disposed through authorized recyclers, in accordance with the laws of the land.
b. E-Waste	
c. Hazardous Waste	

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

Not Applicable

PRINCIPLE 3 Businesses should respect and promote the well-being of all employees, including those in their value chains**ESSENTIAL INDICATORS****1. a. Details of measures for the well-being of employees:**

Category	Total (A)	% of employees covered by									
		Health Insurance		Accident Insurance		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		No. (B)	% (B/A)	No. (C)	% (C/A)	No. (D)	% (D/A)	No. (E)	% (E/A)	No. (F)	% (F/A)
Male	6,998	6,998	100%	6,998	100%	0	0%	NA	NA	NA	NA
Female	227	227	100%	227	100%	227	100%	NA	NA	NA	NA
Total	7,225	7,225	100%	7,225	100%	227	100%	NA	NA	NA	NA
Other than Permanent Employees											
Male	41	41	100%	41	100%	0	0%	NA	NA	NA	NA
Female	7	7	100%	7	100%	7	100%	NA	NA	NA	NA
Total	48	48	100%	48	100%	7	100%	NA	NA	NA	NA

2. Details of retirement benefits, for Current FY and Previous financial year:

	FY 2022-23		FY 2021-2022 (Previous FY)	
	No. of employees covered as a % of total employees	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	Deducted and deposited with the authority (Y/N/N.A.)
1. PF	7,343 (~100%)	Yes	5,672 (~100%)	Yes
2. Gratuity	7,302 (~99%)	Yes	5,659 (~100%)	Yes
3. ESI	4,849* (~66%)	Yes	3,998* (~70%)	Yes
4. Others-Please Specify	NA	Yes	NA	Yes

*Note: In 2021-22, the salaries of 1,677 employees were above the ESI limit and were hence not provided cover.

3. Accessibility of workplaces: Are the premises/offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

Yes, the Company ensures that our premises are accessible for differentially abled employees (corporate office). The Company's premises have elevators, and / or ramps wherever possible. The Company is committed to ensuring that its office spaces are in alignment with the guidelines provided in the Act. However, our branches in tier 3, tier 4, tier 5 and tier 6 cities may not always have such facilities as all our branches are rented facilities and we may not be able to undertake structural modifications.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web link to the policy.

Yes, we follow the principles of equal opportunity and endeavor to provide equitable growth and development opportunities to all. This policy may be viewed at the following link: [Equal-Opportunity-Policy.pdf](#)

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

Gender	Total number of people returned after parental leave in FY 2022-23	Total Number of people who took parental leave in FY 2022-23	Return to work rate	Total Number of people retained for 12 months after returning from parental leave	Total number of people returned from parental leave in prior FY	Retention Rate
Permanent Employees						
Male	NA	NA	NA	NA	NA	NA
Female	1	3	33%	0	0	0
Total	1	3	33%	NA	NA	NA

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and workers? If yes, give details of the mechanism in brief.

Category	Yes / No	Details of the mechanism in brief
Permanent Employees	Yes	All our employees have access to grievance Redressal mechanism irrespective of hierarchy. A Whistle-Blower Policy has been formulated for employees and Directors to report concerns about unethical behavior, actual or suspected fraud or violation of the Company's Code of Conduct policy. The Company has zero tolerance for sexual harassment at the workplace and is compliant with provisions relating to the constitution of Internal Complaints Committee under the Sexual Harassment of women at workplace (Prevention, Prohibition and Redressal) Act, 2013.
Other than Permanent Employees	Yes	Grievances reported, if any, are addressed within ten working days.

7. Membership of employees and worker in association(s) or Unions recognized by the listed entity:

Category	FY 2022-2023 (Current FY)			FY 2021-2022 (Previous FY)		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B/A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	%(D/C)
Permanent Employees						
Male	7,078	0	0%	5,487	0	0%
Female	224	0	0%	174	0	0%
Total	7,302	0	0%	5,661	0	0%
Permanent Workers						
Male	37	0	0%	11	0	0%
Female	8	0	0%	3	0	0%
Total	45	0	0%	14	0	0%

8. Details of training given to employees and workers:

a. Details of Skill training given to employees and workers.	Category	FY 2022-2023 (Current FY)			FY 2021-2022 (Previous FY)		
		Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B/A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	%(D/C)
	Permanent Employees						
	Male	7,115	7,000	98%	5,498	4,250	77%
	Female	232	200	86%	177	130	73%
Total	7,347	7,200	98%	5,675	4,380	77%	
b. Details of training on Health and Safety given to employees and workers.	Category	FY 2022-2023 (Current FY)			FY 2021-2022 (Previous FY)		
		Total employees / workers in respective category (A)	No. of employees / workers in respective category, who had a career review (B)	% (B/A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who had a career review (D)	%(D/C)
	Permanent Employees						
	Male	7,115	4,742	66%	5,498	3,534	64%
	Female	232	141	61%	177	64	36%
Total	7,347	4,883	66%	5,675	3,598	63.5%	

9. Details of performance and career development reviews of employees and worker:

Category	FY 2022-2023 (Current FY)			FY 2021-2022 (Previous FY)		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B/A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	%(D/C)
Permanent Employees						
Male	5,498	4,293	78%	3,780	3,373	89%
Female	177	147	83%	158	145	92%
Others	0	0	0%	0	0	0%
Total	5,675	4,440	78%	3,938	3,518	89%

10. Health and safety management system:

a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/No)	No
a.1. What is the coverage of such system?	Not Applicable
b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?	Significant health and safety risks identified for our employees relate to Road Safety only. Suitable remedial measures have been instituted.
c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Yes/No)	Not Applicable
d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)	Yes; all employees are covered under Company provided Group Medical Insurance.

11. Details of safety related incidents, in the following format:

Safety Incident/Number	Category	FY 2022-2023 Current financial year	FY 2021-2022 Previous financial year
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0.75	1.1875
Total recordable work-related injuries	Employees	12	19
No. of fatalities	Employees	1	1
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	0

12. Describe the measures taken by the entity to ensure a safe and healthy workplace.

Fire extinguishers are placed at appropriate places to ensure safety environment, At the time of on boarding the new joiners are briefed on the process to be followed at the time of evacuation due to fire/natural calamities. Hand sanitizers are provided at the entry points and also will be provided to employees on need basis.

13. Number of Complaints on the following made by employees and workers:

Topic	FY 2022-2023 (Current FY)			FY 2021-2022 (Previous FY)		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	0	0	Not Applicable	0	0	Not Applicable
Health & Safety	0	0	Not Applicable	0	0	Not Applicable

14. Assessments for the year:

Topic	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	No such assessments have been undertaken in the current year; no such statutory requirements.
Working Conditions	

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

Significant health and safety risks identified for our employees relate to Road Safety only. Suitable remedial measures have been instituted.

LEADERSHIP INDICATORS

1. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners

On a monthly basis, the Company reconciles the accounts with the legal fees that Value Chain Partners must pay in order to claim credit. The partner is reminded to make the remittance on time. If there are any delinquencies in the same, adequate follow-up is done. The Company withholds any money owed to the vendor up to the amount of overdue statutory dues. If after repeated reminders, statutory dues are not paid by the vendor, further operations with the vendor in question are suspended until the payment is duly completed.

PRINCIPLE 4: Businesses should respect the interests of and be responsive to all their stakeholders

ESSENTIAL INDICATORS

1. Describe the processes for identifying key stakeholder groups of the entity:

At Five Star, stakeholders have been defined as an institution, individual(s) or a group of individuals who contribute or create value for the organization, in line with the organization's core vision and mission. Currently the Company has identified the following as key stakeholder groups: employees (across all management levels), investors, customers, lenders, and communities of beneficiaries (CSR-programs)

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group:

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly /others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Customers	No	Branch level awareness	Ongoing	Terms of business; Providing awareness about the concept of NPA, Due date, FPC.
Investors	No	Earnings call, website disclosures	Quarterly	Various topics relating to Company's performance;
Communities	Yes	Through our CSR Contributions	Periodic basis	Prior to the donation being accepted by the CSR committee based on completing the qualifying requirements stipulated by the Companies Act 2013, the Five-Star Team will visit and ascertain the concerns and needs of the people, particularly in the three areas of healthcare, livelihood, and education. Additionally, the business monitors whether expenditures are done appropriately, or contributions have reached the intended recipients. The results of these reviews and investments made are regularly shared with the CSR Committee.
Employees	No		Ongoing	Organizational policies and process, compliance to code of conduct etc Performance reviews
Lenders	No		Ongoing	The lenders are engaged on a frequent basis on 1. Performance updates, both financial & operational 2. Ad hoc updates, basis any event in the Company or external environment The goal is to keep the lenders informed of all significant events through regular updates as well as ad hoc updates based on the occurrence of any significant event. Communication on findings, upgrading of security or hypothecation, covenant compliance, etc. are all examples of periodic updates. In addition to these, there will occasionally be one-on-one meetings with lenders, either during normal limit renewal or review or in response to any significant business-related or external environment incident. These typically include guidance for the short- to medium-term as well as performance updates.

LEADERSHIP INDICATORS

1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.

The Company encourages constant and proactive engagement with its stakeholders to better communicate its strategies and performance. The Board is kept well informed on the progress made by various departments, and feedback on the same is sought from the Directors.

2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.

Yes, the stakeholder consultations are one of the key inputs to determining the Company's material topics. As part of this process, the Company looked at the aspects each stakeholder highlighted during the engagement and prioritized them using a matrix to arrive at key material topics. Please refer the ESG report 2022-23 for further details.

3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalized stakeholder groups.

Not applicable; Currently, the Company has not received any complaints or flagging of concerns from vulnerable/ marginalized stakeholder groups.

PRINCIPLE 5: Businesses should respect and promote human rights

ESSENTIAL INDICATORS

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

Category	FY 2022-2023 (Current FY)			FY 2021-2022 (Previous FY)		
	Total (A)	No. of employees / workers covered (B)	% (B/A)	Total (C)	No. of employees / workers covered (D)	%(D/C)
Permanent	7,302	4,821	66%	5,661	3,586	63%
Other than Permanent	45	37	86%	14	12	86%
Total Employees	7,347	4,883	66%	5,675	3,598	63%

2. Details of minimum wages paid to employees and workers, in the following format:

Category	FY 2022-2023 (Current FY)					FY 2021-2022 (Previous FY)				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Permanent										
Total	7,302	345	5%	6,975	95%	5,661	147	3%	5,514	97%
Male	7,078	309	4%	6,769	96%	5,487	123	2%	5,364	98%
Female	224	36	16%	188	84%	174	24	14%	150	86%
Other than Permanent										
Total	45	2	4%	43	96%	14	8	57%	6	97%
Male	37	2	5%	35	95%	11	7	64%	4	98%
Female	8	0	0%	8	100%	3	1	33%	2	86%

3. Details of remuneration/salary/wages, in the following format:

	Male			Female		
	Number	Average Remuneration of Men (Rs in lakhs)	Average Wages of Men (Rs in lakhs)	Number	Average Remuneration of Women (Rs in lakhs)	Average Wages of Women (Rs in lakhs)
Board of Directors (BoD)	4	6.0	0	1	6.0	0
Key Managerial Personnel	3	430.66	0	1	21.90	0
Employees other than BoD and KMP	7,112	3.42	1.48	231	2.53	0.77

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes, there are various committees responsible for human rights impacts and issues in the Company. For instance, the Company has zero tolerance for sexual harassment at workplace and is compliant with the provisions relating to the constitution of Internal Complaints Committees under the Sexual Harassment of women at workplace (Prevention, Prohibition and Redressal) Act, 2013. Additionally, Grievance Redressal Policy is in place for any other human rights impacts/ issue.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

The Company has zero tolerance and prohibits all forms of exploitative or forced labour, and any type of abuse. The Company is guided by the POSH Act (2013), Code of Conduct as well as Whistle-blower Policy to provide redressal on any grievances. As for customers, under Grievance Redressal Policy, complaints can be submitted through calls, emails, or letters to the concerned grievance redressal officer.

6. Number of Complaints on the following made by employees and workers:

	FY 2022-2023 (Current FY)			FY 2021-2022 (Previous FY)		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	NIL	NIL	Not Applicable	NIL	NIL	Not Applicable
Discrimination at workplace	NIL	NIL	Not Applicable	NIL	NIL	Not Applicable
Child Labour	NIL	NIL	Not Applicable	NIL	NIL	Not Applicable
Forced Labour/Involuntary Labour	NIL	NIL	Not Applicable	NIL	NIL	Not Applicable
Wages	NIL	NIL	Not Applicable	NIL	NIL	Not Applicable
Other human rights related issues	NIL	NIL	Not Applicable	NIL	NIL	Not Applicable

7. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

Yes, A whistleblower policy and vigil system, a code of conduct for directors and senior management, a policy on combating sexual harassment, and a code of fair behavior are all in place as methods for reporting instances of discrimination and harassment. The complainant will be completely protected from any unfair practices such as retaliation, threats of termination or suspension of employment, disciplinary action, transfer, demotion, refusal of promotion, or similar actions, as well as any direct or indirect use of authority to obstruct the his/her right to continue performing his duties and functions, including additional protected disclosure. The Grievance Redressal Policy has also clearly laid out the hierarchy for escalation for the customers to ensure they are treated fairly and respectfully during resolution of their issues.

8. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

Yes; the Company includes compliance to relevant laws (avoidance of child and forced labour) as a pre-requisite in its agreements and contracts with vendors and other partners.

9. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child Labour	NIL
Forced Labour/Involuntary Labour	NIL
Sexual Harassment	100 % as per POSH policy
Discrimination at workplace	NIL
Wages	NIL

10. Provide details of any corrective actions taken or underway to address significant risks/concerns arising from the assessments at Question 9 above.

No such incidents were observed in the reporting year.

PRINCIPLE 6: Businesses should respect and make efforts to protect and restore the environment**ESSENTIAL INDICATORS****1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:**

Parameter	FY 2022-2023 (Current FY)	FY 2021-2022 (Previous FY)
Total electricity consumption (A) (GJ)	9,646.75	7,816.55
Total fuel consumption (B) (GJ)	19.03	22.84
Energy consumption through other sources (C) (GJ)	0	0
Total energy consumption (A+B+C) (GJ)	9,665.78	7,839.39
Energy intensity per rupee of turnover (Total energy consumption/ turnover in rupees) (GJ per million INR)	0.63	0.62

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any. –

No; Company's business does not qualify under DCs.

3. Provide details of the following disclosures related to water, in the following format:

Parameter	FY 2022-2023 (Current FY)	FY 2021-2022 (Previous FY)
Water withdrawal by source (in kilolitres)		
(i) Surface water		
(ii) Groundwater		
(iii) Third party water		
(iv) Seawater / desalinated water		
(v) Others (Rainwater storage)		
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)		
Total volume of water consumption (in kilolitres)		
Water intensity per rupee of turnover (Water consumed / turnover)		
(kl per crore INR of revenue)		

Water consumption at our offices is minimal and is limited to only personnel use (i.e., in toilets, pantries etc). Hence this is currently not being measured/tracked.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

4. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

Considering the nature of business, the Company's usage of water is restricted to human consumption purposes only. The Company has not implemented a mechanism for zero liquid discharge.

5. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Not applicable as the Company is in the service industry and there are no process emissions.

Parameter	Please Specify Unit	FY 2022-2023 (Current FY)	FY 2021-2022 (Previous FY)
NOx	mg/m3	NA	NA
SOx	mg/m3	NA	NA
Particulate matter (PM)	mg/m3	NA	NA
Persistent organic pollutants (POP)	NA	NA	NA
Volatile organic compounds (VOC)	NA	NA	NA
Hazardous air pollutants (HAP)	mg/m3	NA	NA
Others – please specify	PPM	NA	NA

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

6. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	Unit	FY 2022-2023 (Current FY)	FY 2021-2022 (Previous FY)
Total Scope 1 emissions (Break-up of the GHG into CO2, CH4, N2O, HFCs, PFCs, SF6, NF3, if available)	tCO2e	1.2	1.4
Total Scope 2 emissions (Break-up of the GHG into CO2, CH4, N2O, HFCs, PFCs, SF6, NF3, if available)	tCO2e	2,170.52	1,758.72
Total Scope 1 and Scope 2 emissions per rupee of turnover (in Rs.)	tCO2e	2,171.72	1,759.13

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

7. Does the entity have any project related to reducing Green House Gas emission? If yes, then provide detail

Currently, the Company does not have any project related to reducing Green House Gas emission reductions as its emissions are not significant.

8. Provide details related to waste management by the entity, in the following format:

Parameter	FY 2022-2023 (Current FY)	FY 2021-2022 (Previous FY)
Total Waste generated (in metric tonnes)		
Plastic waste (A)		
E-waste (B)		
Bio-medical waste (C)		
Construction and demolition waste (D)		
Battery waste (E)	We do not generate any significant amount of waste in our corporate head office or our branch offices. Quantity of waste generated is currently not being tracked. Will be reported in the future years.	
Radioactive waste (F)		
Other Hazardous waste. Please specify, if any. (G)		
Other Non-hazardous waste generated (H). Please specify, if any.		
(Break-up by composition i.e. by materials relevant to the sector)		
Total (A+B + C + D + E + F + G+ H)		

For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)**Category of waste**

- (i) Recycled
- (ii) Re-used
- (iii) Other recovery operations
- Total

For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)**Category of waste**

- (i) Incineration
- (ii) Landfilling
- (iii) Other disposal operations
- Total

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

9. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your Company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

The Company has not put in place a specific strategy for waste management as it does not generate a significant amount of wastes. Hazardous/e-wastes are disposed responsibly through authorized recyclers.

10. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

Not Applicable

11. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Not Applicable

12. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India, such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:

Not Applicable

PRINCIPLE 7: Businesses when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent**ESSENTIAL INDICATORS****1. a) Number of affiliations with trade and industry chambers/ associations.**

One

b) List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

S. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
1	Finance Companies Association(India)	National

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities

Not applicable as no issues or adverse orders, related to anti-competitive conduct by the Company were raised by regulatory authorities.

PRINCIPLE 8: Businesses should promote inclusive growth and equitable development**ESSENTIAL INDICATORS****1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.**

Not applicable. There were no social impact assessments required to be taken by the Company by applicable laws.

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity:

Not applicable. No such projects where Rehabilitation and Resettlement is required are being undertaken by the Company.

3. Describe the mechanisms to receive and redress grievances of the community

The Company undertakes CSR initiatives by contributing to reputed and recognized institutions such as the Ramakrishna Mission, the Single Teachers' School (Part of the Ramakrishna Mission), the MS Swaminathan Research Foundation. The Company also supports other organizations with donations to worthwhile purposes such as education, sustainable livelihood, or healthcare. These organizations supported by the Company undertake the needs assessments and understand the grievances of the communities, which is in-turn communicated to us and then support is extended. A summary of such activities supported is delivered to the CSR Committee of the Board on a regular basis. The Company also monitors whether expenditures have been made in the appropriate location and at the appropriate time.

4. Percentage of input material (inputs to total inputs by value) sourced from local or small-scale suppliers:

	FY 2022-2023 (Current FY)	FY 2021-2022 (Previous FY)
Directly sourced from MSMEs/ Small producers	The Company procures a limited number of material other than those that are part of the IT infrastructure. Hence, currently such procurements are not tracked.	
Sourced directly from within the district and neighboring districts		

PRINCIPLE 9: Businesses should engage with and provide value to their consumers in responsible manner**ESSENTIAL INDICATORS****1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback. –**

Consumer complaints are addressed by a Grievance Redressal Committee, which is led by senior management personnel. According to the Grievance Redressal Policy, there are a number of ways to receive consumer complaints. For example, customers can call, email, or write to the branch and register their complaints.

The Company's customer service department or the applicable branch managers will reply within 10 days of receiving the complaint. The Company secretary (who is also the Redressal Officer) and Nodal Officer (Head of Risk & Compliance) are the first level and second level points of contact for the escalation, respectively, according to a matrix that is also accessible to customers. Customers may speak with the regulatory authority for non-banking financial companies at the Reserve Bank of India directly if they receive an unsatisfactory response.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information.

Type	As a percentage to total turnover
Environment and Social parameters relevant to product	NA
Safe and responsible usage	NA
Recycling and/or safe disposal	NA

3. Number of consumer complaints

	FY 2022-2023 (Current FY)			FY 2021-2022 (Previous FY)		
	Received during the year	Pending resolution at the end of year	Remarks	Received during the year	Pending resolution at the end of year	Remarks
Data privacy	0	0	-	0	0	-
Advertising	0	0	-	0	0	-
Cyber-security	0	0	-	0	0	-
Delivery of essential services	0	0	-	0	0	-
Restrictive Trade Practices	0	0	-	0	0	-
Unfair Trade Practices	0	0	-	0	0	-
Others	0	0	-	83	1	-

4. Details of instances of product recalls on account of safety issues

	Number	Reason for recall
Voluntary recalls	Not Applicable	
Forced recalls		

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy. –

Yes

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

Not applicable since no such incidents were reported.

LEADERSHIP INDICATORS

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).

The information on various products and services of the Company is available on:

- Branch office/Registered office
- SERVICES – Five Star (fivestargroup.in)

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services. –

At Five Star, the consumers are educated on digital banking and paperless transaction through the front-end employees at our branches. The consumers are also encouraged to visit the Company's website through which digital transaction/banking services may be availed.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services. –

The firm notifies its clients through SMS to the registered mobile number in the event of any disruption or termination of vital services. Details about the impact of the disruption or discontinuation are also posted at the branches. The Company will proactively engage with its customers and ensure that they do not suffer on account of disruption of services. If the disruption is due to technological failure, then the Company shall resort to manual means to fulfill the needs of the customers. If the tech disruption is expected to be long lasting, COB plan would be triggered to ensure that the customers are not put to significant difficulties.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable)? If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No) –

Not applicable - there is no product information mandated by law. Given the nature of the business, there is limited applicability of this indicator.

5. Provide the following information relating to data breaches:

- Number of instances of data breaches along-with impact – Nil
- Percentage of data breaches involving personally identifiable information of customers – Nil